

Federal Maritime Commission

Docket No. 19-09

VERTERRA LTD.

COMPLAINANT,

v.

D.B. GROUP AMERICA LTD. and

D.B. GROUP INDIA LTD.

RESPONDENTS.

**MEMORANDUM OF LAW IN OPPOSITION TO COMPLAINANT’S MOTION FOR LEAVE TO FILE A
SURREPLY IN OPPOSITION TO RESPONDENTS’ MOTION TO DISMISS,
OR IN THE ALTERNATIVE, TO STAY THE PROCEEDINGS**

Respondents D.B. GROUP AMERICA LTD. and D.B. GROUP INDIA LTD. (“Respondents”), by and through their undersigned counsel of record, hereby file this Memorandum of Law in opposition to Complainant’s wholly unnecessary and unwarranted Motion for Leave to file a surreply in further opposition to Respondents’ Motion to Dismiss, or in the alternative, Motion to Stay Proceedings. Complainant’s motion is unwarranted both procedurally and substantively. There are absolutely no “extraordinary circumstances” to justify the submission of a surreply. 46 C.F.R. § 502.70.¹

¹ Complainant and Mr. Dwork also sought to “get the last word in” on the motion and cross-motion pending in the New York action, by trying to submit a reply on their cross-motion, despite there being no provision for such papers in the New York Civil Practice Laws and Rules. The Court denied their request on February 6, 2020, hours before they then applied to the FMC seeking to file a surreply herein.

A. There Were No New Arguments Raised in Reply

In its opposition to the motion, Complainant submitted an affirmation of its counsel, Christopher J. Sovak, Esq., who claims that Richard Altman, Esq., one of Respondents' attorneys, stated to him that "...D.B. Group America Ltd. had filed a document with the FMC admitting to certain violations of the Shipping Act in connection with the issues raised by VerTerra as to the shipments at issue." While he now claims that this "admission" goes only to the question of the jurisdiction of the FMC over this claim, Mr. Sovak's assertion was clearly meant to buttress Complainant's position on the merits, by insinuating that D.B. Group had admitted to having violated the Shipping Act in its dealings with VerTerra.

In reply, Mr. Altman submitted an Affirmation directly addressing Mr. Sovak's affirmation, denying that he had "admitted" any wrongdoing by D.B. Group in any conversation with Mr. Sovak, and stating that he told Mr. Sovak, in substance, "that D.B. Group was planning to conduct an internal review of its FMC compliance practices with regard to the FMC's tariff publishing requirement. The internal review is not specific to VerTerra and D.B. Group has not completed its review and has made... no admission." See Respondents' Reply Memorandum of Law, Ex. 4 at ¶ 5 (Altman Affirmation). He also stated that any such conversation had been in the context of settlement discussions, and that it was therefore not properly before the FMC on this motion. It is this latter point that appears to be the basis of Complainant's request to file a surreply.

Under 46 C.F.R. § 502.70(c), a party making a dispositive motion may file reply papers. "A reply may not raise new grounds for relief or present matters that do not relate to the response and must not reargue points made in the opening motion." The rule further provides that, in subsection (d), that "the non-moving party may not file any further reply unless requested by the

Commission or presiding officer, or upon a showing of extraordinary circumstances.” See *Crocus v. Marine Transport Logistics*, Docket No. 15-04, at 7 (FMC March 6, 2017) (FMC denies leave to file reply [in non-dispositive motion]: “None of the reasons Complainants assert constitute extraordinary circumstances that warrant a reply brief. Complainants simply disagree with Respondents’ arguments on the merits and seek to have the last word.”). See also, *Portland & Western Railroad, Inc. v. RK Storage & Warehousing, Inc.*, S.T.B. Docket No. FD 35406, 2011 WL 3157556 *1 (Surface Transportation Board, July 26, 2011):

Our rules generally prohibit the filing of a reply to a reply (surreply) in a Board proceeding. 49 C.F.R. § 1104.13(c). In seeking leave to submit a surreply to RK’s Reply, the Railroad argues that RK provided several allegedly new defenses for nonpayment of demurrage charges for the first time in its reply. Similarly, RK seeks permission to file a surreply to (1) the Railroad’s tendered surreply and (2) the Railroad’s submission of the court’s February 18 order. As neither of the tendered surreplies advances the record needed to determine the reasonable amount of demurrage, both requests for leave to submit surreplies will be denied, and the surreplies are not made part of the record.

Surreplies are disfavored in Federal Court practice, as well. See, e.g., *Bonnie & Company Fashions, Inc. v. Bankers Trust Co.*, 945 F.Supp. 693, 708 (S.D.N.Y. 1996). See also, *Litton Industries, Inc. v. Lehman Brothers Kuhn Loeb Inc.*, 767 F.Supp. 1220, 1235 (S.D.N.Y. 1991), rev’d on other grounds, 967 F.2d 742 (2d Cir. 1992) (“Clearly, reply papers may properly address new material issues raised in the opposition papers so as to avoid giving unfair advantage to the answering party who took it upon himself to argue those previously unforeseen issues.”).

In this case, Mr. Altman used the reply to oppose and rebut arguments asserted by Complainant in its opposition to the motion. This is what a reply is for, and is no reason, let alone an “extraordinary circumstance,” warranting the filing of a surreply. See, e.g., *Gayle v. Harry’s Nurses Registry, Inc.*, No. 07–CV–4672, 2012 WL 4174401 (E.D.N.Y., September 18, 2012) (“Plaintiffs did not have an obligation to anticipate in their opening papers the specific arguments

Defendants raised in their opposition; their response to those arguments was properly raised in their reply.); *Zirotgiannis v. Seterus*, 221 F.Supp.3d 292, 299 (E.D.N.Y. 2018).

B. The Proposed Surreply Serves No Purpose

Mr. Sovak argues that the “admission” he alleges Mr. Altman made (which Mr. Altman denies) somehow is a concession that the FMC has jurisdiction over Shipping Act violations.

Of course the FMC has jurisdiction, *in general*, over Shipping Act violations. There is no need for counsel to submit surreply papers trying to prove that Mr. Altman “admitted” this. Rather, as previously argued in Respondents’ motion papers (and as addressed by Complainant in its opposition papers), *in this instance*, the FMC does not have jurisdiction over VerTerra’s specific claims herein, even if Shipping Act violations are alleged, and/or the FMC should stay this proceeding pending the outcome of the New York Supreme Court action, in which Complainants, inter alia, interposed a counterclaim virtually identical to its FMC claim against D.G. Group America. Complainant invoked the jurisdiction of the state court, which has concurrent jurisdiction over their claims, and which in fact has exclusive jurisdiction over what is essentially an action for, and defense of, a claim of breach of contract (see Shipping Act, Section 8(c)).²

All relevant issues upon this motion have been fully briefed, and no new arguments were raised by Respondents on reply. There is no reason, let alone “extraordinary circumstances,” warranting further submissions by the non-movant Complainant. As in *Crocus, supra*, “Complainants simply disagree with Respondents’ arguments on the merits and seek to have the last word.”

² Respondents respectfully refer the Hearing Officer to Respondents’ Reply Memorandum of Law, at 4 – 9, for a full explanation of the reasons why, in this particular instance, the FMC lacks jurisdiction, and/or how VerTerra waived the jurisdiction of this forum.

WHEREFORE, Respondents respectfully urge that Complainant's motion for leave to file a surreply be denied in its entirety.

Undersigned counsel, per 46 C.F.R. § 502.2(f)(3), certifies that this e-filed copy is a true and correct copy of the paper original, and that the paper signed original and five (5) copies are being filed with the Secretary of the Commission.

Respectfully submitted this 7th day of February, 2020.

REISMAN, RUBEO & ALTMAN, LLP



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CERTIFICATE OF SERVICE

I hereby certify that I have this 7th day of February, 2020, served a copy of the foregoing document upon all parties by electronic mail.



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